considerable advantage was taken was the exemption of the Princely states from scrutiny or questioning when such notes were presented by them.

In 1954, new high denomination notes of ₹1,000, ₹5,000 and ₹10,000 were reintroduced.

Viewed in perspective, though the 1946 demonetization failed in its objective of curbing black marketing and did pose several administrative challenges, it did not cause widespread distress to the general public. It is estimated that the high denomination notes of ₹1,000, ₹5,000 and ₹10,000 were only held by three per cent of the population, and as they were certainly not used for daily transactions, the impact of the 1946 note ban on the common man was limited.

Technical Demonetizations Between 1946 and 1978[5]

The demonetizations that took place during this period were essentially technical in nature. They involved the conversion of currencies of the Princely States and foreign territories into Indian rupees, and, in 1957, the demonetization of coins, as India moved coinage to the metric system.

1949 The princely state of Kutch issued currency in the form of silver coins called Koris. It was subdivided into 24 Dokda, each of 2 Trambiyo. The Kori remained the currency of Kutch till 1949 when it was demonetized and replaced by the Indian rupee at the rate of 1 rupee = 3.5 Koris.

1954 The French territories in India (notably Pondicherry) were transferred to the Indian Union on 1 November 1954 (the de jure transfer took place later, on 28 May 1956). Notes in the French territories were issued by the Banque De l'Indochine, and were in the denominations of 'Roupie' 1, 10 and 50. These notes continued in circulation until they were demonetized in 1954 and replaced by Indian currency.

1957–59 In the Princely State of Hyderabad, coins were issued in the name of the Mughal Emperor till 1858. Thereafter, they were